

KTEP-FM
OF
THE UNIVERSITY OF TEXAS AT EL PASO
FINANCIAL STATEMENTS
WITH INDEPENDENT AUDITOR'S REPORT
YEAR ENDED AUGUST 31, 2016

KTEP-FM
OF
THE UNIVERSITY OF TEXAS AT EL PASO
FOR THE YEAR ENDED AUGUST 31, 2016

TABLE OF CONTENTS

	<u>Page</u>
Independent Auditor's Report	1
Management's Discussion and Analysis	4
Financial Statements	9
Statement of Net Position ..	10
Statement of Revenues, Expenses, and Changes in Net Position	11
Statement of Cash Flows	12
Notes to the Financial Statements	13
Supplementary Information	22
Schedule of Functional Expenses	23

INDEPENDENT AUDITOR'S REPORT

To the Management of KTEP-FM and to
The University of Texas at El Paso
El Paso, Texas

We have audited the accompanying financial statements of the business-type activities of KTEP-FM of the University of Texas at El Paso (KTEP-FM), as of and for the year ended August 31, 2016, and the related notes to the financial statements, as listed in the table of contents.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with auditing standards generally accepted in the United States of America. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the financial statements referred to above present fairly, in all material respects, the financial position of the business-type activities of KTEP-FM of the University of Texas at El Paso, as of August 31, 2016, and the changes in financial position and cash flows thereof for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Emphasis of Matter

As discussed in Note 1, the financial statements present only KTEP-FM and do not purport to, and do not present fairly the financial position of the University of Texas at El Paso, as of August 31, 2016, the changes in its financial position, or, where applicable, its cash flows for the year then ended in accordance with accounting principles generally accepted in the United States of America. Our opinion is not modified with respect to this matter.

As discussed in Note 9 to the financial statements, KTEP-FM restated its beginning net position to remove the net pension liability and deferred inflows and outflows of resources related to TRS based on a reassessment by management. Our opinion is not modified with respect to this change.

Other Matters

Required Supplementary Information

Accounting principles generally accepted in the United States of America require that the management's discussion and analysis on pages 5 through 8, be presented to supplement the basic financial statements. Such information, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board, who considers it to be an essential part of the financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Supplementary Information

Our audit was conducted for the purpose of forming an opinion on the financial statements that collectively comprise KTEP-FM of the University of Texas at El Paso's basic financial statements. The schedule of functional expenses is presented for purposes of additional analysis and is not a required part of the basic financial statements. The schedule of functional expense is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the basic financial statements. Such information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statement themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the schedule of functional expenses is fairly stated, in all material respects, in relation to the basic financial statements as a whole.

Gilson Ruddock Patterson LLC

El Paso, Texas
March 8, 2017

MANAGEMENT DISCUSSION AND ANALYSIS

**KTEP-FM
OF
THE UNIVERSITY OF TEXAS AT EL PASO
MANAGEMENT'S DISCUSSION AND ANALYSIS**

AUGUST 31, 2016

Introduction and Reporting Entity

This discussion and analysis of KTEP-FM ("KTEP"), a public radio station operated by the University of Texas at El Paso ("UTEP"), provides an overview of KTEP's financial activities during the year ended August 31, 2016.

KTEP is the strongest public radio station in the El Paso market, serving El Paso and the surrounding areas up to 100 miles in radius. In addition to many local programs targeted specifically towards the El Paso community, KTEP also broadcasts news, cultural, and educational programs from National Public Radio and Public Radio International, as well as other independent radio networks. In addition to serving the El Paso community, KTEP also serves as a laboratory for broadcast students.

KTEP is supported in part by the University of Texas at El Paso, which provides space for the station on campus, and pays the salaries of most of the full-time employees. The remaining funds come from the KTEP listening community through memberships and underwriting support and grants from the Corporation for Public Broadcasting ("CPB").

KTEP is not a separate legal entity from UTEP and is therefore exempt from income taxes.

Overview of the Financial Statements

KTEP's financial statements present the financial activities of KTEP only, which are a group of accounts within UTEP's accounting system. All amounts contained in these financial statements are included in the financial statements of the University of Texas System, a component unit of the State of Texas.

The financial statements of KTEP are prepared in conformity with Governmental Accounting Standards Board pronouncements. Following this section are the basic financial statements and footnotes which should be read in conjunction with this discussion and analysis. The Statement of Net Position provides information on the types of assets and liabilities of KTEP, with the difference between the two reported as net position. Over time, increases or decreases in net position may serve as a useful indicator of whether KTEP's financial position is improving or deteriorating. The Statement of Revenues, Expenses, and Changes in Net Position provides information on income and expenses for the year, with additional detail of the expenses provided in the supplementary Schedules of Functional Expenses. The Statement of Cash Flows shows the sources and uses of cash and the net changes in cash during the year. The Notes to the Financial Statements provide additional information essential to a full understanding of the data provided in the financial statements.

**KTEP-FM
OF
THE UNIVERSITY OF TEXAS AT EL PASO
MANAGEMENT'S DISCUSSION AND ANALYSIS**

YEAR AUGUST 31, 2016

Financial Highlights

A summarized comparison of KTEP's assets, deferred outflows, liabilities, deferred inflows, and net position at August 31, 2016 and 2015, is as follows:

	<u>2016</u>	<u>2015</u>
Current assets	\$ 139,830	\$ 197,428
Capital assets, net	<u>26,054</u>	41,018
Total assets	165,884	238,446
Deferred outflows of resources	<u>-</u>	11,529
Total assets and deferred outflows	<u>165,884</u>	<u>249,975</u>
Current liabilities	41,092	41,098
Noncurrent liabilities	<u>-</u>	60,508
Total liabilities	<u>41,092</u>	101,606
Deferred inflows of resources	<u>-</u>	18,509
Net position		
Investment in capital assets	26,054	41,018
Unrestricted	<u>98,738</u>	88,842
Total net position	<u>124,792</u>	129,860
Total liabilities, deferred inflows, and net position	<u>\$ 165,884</u>	<u>\$ 249,975</u>

Current assets decreased by \$57,598 as of August 31, 2016, consisting of a decrease in cash of \$50,467, a decrease in receivables of \$2,942, and a decrease in prepaid expenses of \$4,189. Capital assets decreased by \$14,964 as a result of depreciation. Current liabilities decreased by \$6 as of August 31, 2016.

Prior year balances of deferred outflows of resources, noncurrent liabilities, and deferred inflows of resources were related to the TRS pension obligation. The balances were removed from the statement of net position in the current year as the result of a determination that the University of Texas System and/or UTEP and not KTEP would be covering these balances since KTEP operates within a department of UTEP. As a result, KTEP restated its unrestricted net position as of September 1, 2015 by an increase of \$67,488.

KTEP's total net position decreased by \$5,068 as of August 31, 2016. The decrease in investment in capital assets corresponds with the decrease in capital assets discussed above. The increase in unrestricted net position of \$9,896 was the result of the restatement discussed above, offset by operating activities, with the exclusion of depreciation expense.

**KTEP-FM
OF
THE UNIVERSITY OF TEXAS AT EL PASO
MANAGEMENT'S DISCUSSION AND ANALYSIS**

YEAR AUGUST 31, 2016

A summarized comparison of KTEP's revenues, expenses and changes in net position for the years ended August 31, 2016 and 2015 is as follows:

	<u>2016</u>	<u>2015</u>
Operating revenues		
UTEP direct and indirect support	\$ 412,999	\$ 403,328
Grants	149,975	155,685
Membership, gifts and other	<u>370,512</u>	<u>315,534</u>
Total revenue	<u>933,486</u>	<u>874,547</u>
Operating expenses		
Program services	673,077	630,521
Supporting services	<u>332,965</u>	<u>292,033</u>
Total expenses	<u>1,006,042</u>	<u>922,554</u>
Operating income (loss)	<u>(72,556)</u>	<u>(48,007)</u>
Change in net position	(72,556)	(48,007)
Beginning net position, (restated for 2016)	<u>197,348</u>	<u>177,867</u>
Ending net position	<u>\$ 124,792</u>	<u>\$ 129,860</u>

Operating revenues for 2016 increased by \$58,939 or 7%. Grants decreased by \$5,710. Membership, gifts and other revenues increased by \$54,978 in 2016 primarily due to a \$35,000 gift for station improvements and equipment upgrades. UTEP's direct and indirect support increased by \$9,671.

Operating expenses for 2016 increased by \$83,488 or 9%. Program services increased \$42,556, primarily due to increases in national programming costs, increase in student part-time employees, and an increase in tradeout agreements for advertising services. Supporting services increased \$40,932 which is mainly related to the \$35,000 gift for station improvements.

The 2016 beginning net position was restated by an increase of \$67,488 as described in the previous section.

Economic Outlook

Last fiscal year was mixed financially for KTEP. While the station saw a small increase in the total revenue, expenses ended up exceeding revenue. This is due in large part to an increase in programming fees charged to KTEP and the improvements to one of our production studios.

The studio improvement has been completed, with new furnishings and new equipment that we expect to last for a number of years, and we are pursuing some programming adjustments that will help to lower some of the programming costs for next year. There are a couple of long-time public radio programs that are being retired and we plan to replace these shows with lower cost options to help the programming budget.

**KTEP-FM
OF
THE UNIVERSITY OF TEXAS AT EL PASO
MANAGEMENT'S DISCUSSION AND ANALYSIS**

YEAR AUGUST 31, 2016

This alone however, will not overcome the difference between expenses and revenue for a couple of reasons. KTEP's main broadcast antenna was severely damaged in a wind storm in December 2016. This necessitated a major repair, and while the antenna is insured, the deductible on the insurance was \$10,000. That is an expense that we will have to make up with increased fundraising and corporate underwriting. Additionally, KTEP has a second production studio that is used for most of our local public affairs programming that is starting to show its age. We will need to purchase a new audio console for that studio soon. At that time, we also hope to refurbish the studio totally which will entail a complete asbestos abatement of the space as well as purchasing new furnishings and equipment.

KTEP has also been informed that we will once again see an increase in the amount we pay for programming from National Public Radio. Management is hopeful that upcoming program changes designed to reduce spending will be able to offset this increase in program fees.

While studio improvement and equipment repair and replacement are costly projects, they are necessary for the daily operation of the radio station. Fortunately there is room for revenue growth at KTEP. While fiscal year 2016 saw an increase in revenue over the previous fiscal year, it was accomplished with fewer contributors to the radio station. KTEP plans to aggressively fundraise during the next year to try and increase the number of contributors. That is always our biggest challenge since the El Paso community is composed of a large minority population. This, combined with the lack of major industry in the region, leads to a community that is economically depressed. For this reason, fundraising is always difficult in El Paso.

To help overcome this difficulty, KTEP has already instituted a successful sustaining member program, where contributors automatically renew their support annually. Thanks to that effort, we can now concentrate our fundraising efforts on increasing our new members each year. Once we sign up new members, we can work to move them into the sustaining ranks which will further increase our membership revenue each year.

There is also room for growth in our Corporate Underwriting department. Underwriting revenue saw a slight decrease this last fiscal year, something that we hope to remedy soon. This combined with increasing our efforts to educate the audience about our vehicle donation program will hopefully provide an increase in revenue for the radio station.

KTEP is also beginning to look toward the future and the possibility of a decrease in funding from the Corporation for Public Broadcasting. While the CPB grant is a critical component of our budget, we are confident that we will be able to overcome any cuts through programming changes and additional membership campaigns. It will not be an easy task, but through the use of collaborative programming services with other stations and networks, and a more aggressive overall fundraising approach, management is confident that KTEP will remain a vital programming service for the El Paso and southern New Mexico region.

Contacting KTEP's Management

This financial report is designed to provide our listening and membership community and grantors with a general overview of KTEP's finances. If you have any questions about this report, please contact KTEP's General Manager at 500 West University Avenue, Cotton Memorial Bldg, Suite 2013, El Paso, Texas 79968.

FINANCIAL STATEMENTS

**KTEP-FM
OF
THE UNIVERSITY OF TEXAS AT EL PASO**

STATEMENT OF NET POSITION

AUGUST 31, 2016

ASSETS

Current Assets:	
Cash	\$ 132,288
Membership and gift receivables	882
Prepaid expenses	<u>6,660</u>
Total current assets	<u>139,830</u>
Capital assets, net	<u>26,054</u>
Total assets	<u><u>\$ 165,884</u></u>

LIABILITIES AND NET POSITION

Current Liabilities:	
Accounts payable and accrued expenses	<u>\$ 41,092</u>
Total liabilities	<u>41,092</u>
Net Position	
Investment in capital assets	26,054
Unrestricted net position	<u>98,738</u>
Total net position	<u>124,792</u>
Total liabilities and net position	<u><u>\$ 165,884</u></u>

The accompanying notes are an integral part of these financial statements.

**KTEP-FM
OF
THE UNIVERSITY OF TEXAS AT EL PASO**

**STATEMENT OF REVENUES, EXPENSES, AND CHANGES IN NET POSITION
FOR THE YEAR ENDED AUGUST 31, 2016**

Operating Revenues:	
University of Texas at El Paso direct support	\$ 298,657
Indirect administrative and occupancy support from University of Texas at El Paso	114,342
Membership contributions and gifts	289,551
Grants	149,975
Program underwriting	26,259
In-kind contributions	<u>54,702</u>
Total operating revenues	<u>933,486</u>
Operating Expenses:	
Programming and production	424,565
Broadcasting	171,040
Program information and promotion	77,472
Management and general	281,946
Fundraising and membership development	<u>51,019</u>
Total operating expenses	<u>1,006,042</u>
Operating income (loss)	<u>(72,556)</u>
Change in net position	(72,556)
Net position, beginning of year, restated	<u>197,348</u>
Net position, end of year	<u><u>\$ 124,792</u></u>

The accompanying notes are an integral part of these financial statements.

**KTEP-FM
OF
THE UNIVERSITY OF TEXAS AT EL PASO**

STATEMENT OF CASH FLOWS

FOR THE YEAR ENDED AUGUST 31, 2016

Cash flows from operating activities:	
Direct support from the University of Texas at El Paso	\$ 298,657
Cash receipts from membership, gifts, and underwriting	318,752
Cash receipts from grants	149,975
Cash payments for employee salaries and benefits	(336,515)
Cash payments to suppliers of goods or services	<u>(481,336)</u>
Net cash used by operating activities	<u>(50,467)</u>
Net increase in cash	(50,467)
Cash, beginning of year	<u>182,755</u>
Cash, end of year	<u><u>\$ 132,288</u></u>
Reconciliation of operating loss to net cash used by operating activities	
Operating loss	\$ (72,556)
Adjustments to reconcile operating loss to net cash used by operating activities:	
Depreciation	14,964
Changes in assets and liabilities:	
Membership and gift receivables	2,942
Prepaid expenses	4,189
Accounts payable and accrued expenses	<u>(6)</u>
Net cash used by operating activities	<u><u>\$ (50,467)</u></u>

The accompanying notes are an integral part of these financial statements.

**KTEP-FM
OF
THE UNIVERSITY OF TEXAS AT EL PASO**

NOTES TO FINANCIAL STATEMENTS

YEAR ENDED AUGUST 31, 2016

1. SUMMARY OF SIGNIFICANT ACCOUNTING AND REPORTING POLICIES

Reporting Entity - KTEP-FM ("KTEP") is a public radio station which is operated by the University of Texas at El Paso ("UTEP") in the Communications Department within the College of Liberal Arts and is governed by the University of Texas System Board of Regents. KTEP operates at the frequency 88.5 on the FM dial, providing news, music, and other programs. KTEP is not a separate legal entity nor is it a separate fund of UTEP. Its financial activity is accounted for as a group of accounts within the UTEP accounting system. All accounting transactions of KTEP are processed by UTEP's administrative offices, and all amounts contained in these financial statements are included in the financial statements of the University of Texas at El Paso which is part of the University of Texas System, a component unit of the State of Texas.

These financial statements present only KTEP and do not purport to, and do not, present fairly the financial position of the University of Texas at El Paso, as of August 31, 2016, and the changes in its financial position and cash flows, where applicable, for the year then ended in conformity with accounting principles generally accepted in the United States of America. Complete financial statements of UTEP can be obtained at its administrative offices.

Basis of Financial Statement Presentation and Basis of Accounting - The financial statements of KTEP are presented for the purpose of reporting to the Corporation for Public Broadcasting. KTEP prepares its financial statements in accordance with accounting principles generally accepted in the United States of America as prescribed by the Governmental Accounting Standards Board (GASB), and it complies with the Corporation for Public Broadcasting's (CPB) *Application of Principles of Accounting and Financial Reporting to Public Telecommunications Entities*. KTEP uses the reporting model for business-type activities (enterprise fund) for its financial statements.

The financial statements are presented using the economic resources measurement focus and the accrual basis of accounting. Using this basis of accounting, revenues are recorded when earned and expenses are recorded when a liability is incurred, regardless of the timing of the related cash flows.

Operating revenues and expenses are directly related to programming, production, development, and delivery of telecommunication services. All revenues and expenses not meeting the definition of operating revenues or expenses are reported as non-operating revenues and expenses. Revenues associated with or restricted by donors to use for capital improvements are recorded as nonoperating revenues.

Cash and Cash Equivalents - Cash balances are commingled with other UTEP funds, which are entirely insured or collateralized by depository financial institutions. Since UTEP controls any cash and cash equivalents, it is the responsibility of UTEP to comply with the Depository Contract Law and Public Funds Investment Act. Any of KTEP's funds would be subject to the policies and contractual provisions governing deposits and investments for UTEP. Interest earned on available cash balances is not allocated to KTEP. For purposes of reporting cash flows, KTEP considers highly liquid investments to be cash equivalents if they have a maturity of three months or less when purchased.

(Continued)

**KTEP-FM
OF
THE UNIVERSITY OF TEXAS AT EL PASO**

NOTES TO FINANCIAL STATEMENTS

YEAR ENDED AUGUST 31, 2016

1. SUMMARY OF SIGNIFICANT ACCOUNTING AND REPORTING POLICIES (Continued)

Capital Assets - Purchased capital assets are recorded at cost. Donated property is recorded at the acquisition value at the date of receipt. KTEP follows UTEP's capitalization policy and capitalizes equipment costing \$5,000 or more and buildings and improvements costing \$100,000 or more. Depreciation is calculated using the straight-line method over the estimated useful lives of the related assets over periods of 5 to 30 years. Maintenance and repair costs are charged to expense.

Net Position - Investment in capital assets represents KTEP's capital assets, net of accumulated depreciation, reduced by outstanding debt obligations related to those capital assets. There were no outstanding debt obligations at August 31, 2016.

Unrestricted net position represent resources that are available for the support of KTEP's operations.

Revenues - Grant funding is recognized as revenue when all eligibility requirements imposed by the grantor have been met. Membership contributions, gifts, and underwriting support, are recognized as operating revenues in the period they are received. Non-cash contributed support is recognized as revenue when the goods or services have been provided.

Expenses - Expenses are reported in functional categories. Expenses that relate to more than one function are allocated based upon management's estimates of staff and resources utilized by function. Restricted resources are first applied when an expense is incurred for purposes for which both restricted and unrestricted net position are available.

University of Texas at El Paso Support - KTEP receives substantial support from UTEP in the form of direct appropriations and grants for operating and indirect administrative and occupancy support. Revenue for this support is recognized in the period the expenses are incurred. These direct and indirect amounts are included as both revenues and expenses in the statement of revenues, expenses and changes in net position.

Indirect support from UTEP consists of allocated administrative and occupancy costs incurred by UTEP for which KTEP receives benefits. The estimated value of this support is recognized in the statements of revenues, expenses, and changes in net position as indirect administrative support and also as expenses in the management and general functional expense category. Indirect support is calculated using UTEP's Other Sponsored Activities indirect cost rate negotiated with the U.S. Department of Health and Human Services. The approved rate was modified to exclude certain cost components that do not benefit KTEP.

KTEP occasionally receives appropriations from UTEP for capital improvements. This support is reported as non-operating revenues and the related expenditure is capitalized.

(Continued)

**KTEP-FM
OF
THE UNIVERSITY OF TEXAS AT EL PASO**

NOTES TO FINANCIAL STATEMENTS

YEAR ENDED AUGUST 31, 2016

1. SUMMARY OF SIGNIFICANT ACCOUNTING AND REPORTING POLICIES (Continued)

In-kind Contributions - Program information services used in operations are donated to KTEP by businesses and non-profit organizations. These in-kind contributions are included in the financial statement at fair value determined on the basis of the donor's usual and customary fees charged to a paying customer for equivalent goods or services. The value of these services was \$54,702 for the year ended August 31, 2016. This amount is included as both support and expenses in the statement of revenues, expenses and changes in net position.

Fundraising and Membership Development - KTEP does not provide premiums (thank you gifts) or incur any direct, third-party expenses for special fundraising activities.

Advertising - Advertising costs are expensed in the period in which they are incurred.

Income Taxes - As a governmental entity, UTEP is exempt from taxes. As such, KTEP is also exempt from taxes.

Estimates - The preparation of financial statements in conformity with accounting principles generally accepted in the United States of America requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements and the reported amounts of revenues and expenses during the reporting period. Accordingly, actual results could differ from those estimates.

(Continued)

**KTEP-FM
OF
THE UNIVERSITY OF TEXAS AT EL PASO**

NOTES TO FINANCIAL STATEMENTS

YEAR ENDED AUGUST 31, 2016

2. CAPITAL ASSETS

A summary of capital assets activity for the year ended August 31, 2016 is as follows:

	Beginning Balance	Additions	Retirement	Ending Balance
Buildings	\$ 75,861	\$ -	\$ -	\$ 75,861
Transmission, broadcasting and studio equipment	316,524	-	(9,039)	307,485
	392,385	-	(9,039)	383,346
Less accumulated depreciation for:				
Buildings	(75,861)	-	-	(75,861)
Transmission, broadcasting and studio equipment	(275,506)	(14,964)	9,039	(281,431)
	(351,367)	(14,964)	9,039	(357,292)
Capital assets, net	\$ 41,018	\$ (14,964)	\$ -	\$ 26,054

Total depreciation expense of \$14,964 was charged to the broadcasting function.

3. PENSION PLANS

Since personnel working for KTEP are employees of UTEP, they are eligible to participate in the benefit programs of UTEP. All full-time employees at KTEP are covered by either the Teacher Retirement System of Texas or the Optional Retirement Program as UTEP employees.

Teacher Retirement System of Texas (TRS)

Plan Description: TRS is a cost-sharing multiple-employer defined benefit pension that has a special funding situation. TRS was established and is administered in accordance with the Texas Constitution, Article XVI, Section 67 and Texas Government Code, Title 8, Subtitle C. The pension trust fund is a qualified pension trust under Section 401(a) of the Internal Revenue code. The Texas Legislature establishes benefit and contribution rates within the guidelines of the Texas Constitution. The pension's Board of Trustees does not have the authority to establish or amend benefit terms.

(Continued)

**KTEP-FM
OF
THE UNIVERSITY OF TEXAS AT EL PASO**

NOTES TO FINANCIAL STATEMENTS

YEAR ENDED AUGUST 31, 2016

3. PENSION PLANS (continued)

Pension Plan Fiduciary Net Position: Detailed information about the Teacher Retirement System's fiduciary net position is available in a separately-issued Comprehensive Annual Financial Report that includes financial statements and required supplementary information. That report may be obtained on the internet at https://www.trs.texas.gov/TRS%20Documents/cafr_2016.pdf, by writing to TRS at 1000 Red River Street, Austin, TX 78701-2698; or by calling (512) 542-6592.

Benefits Provided: TRS provides service and disability retirement, as well as death and survivor benefits, to eligible employees (and their beneficiaries) of public and higher education in Texas. The pension formula is calculated using 2.3 percent (multiplier) times the average of the five highest annual creditable salaries times years of credited service to arrive at the annual standard annuity except for members who are grandfathered, the three highest annual salaries are used. The normal service retirement is at age 65 with 5 years of credited service or when the sum of the member's age and years of credited service equals 80 or more years. Early retirement is at age 55 with 5 years of service credit or earlier than 55 with 30 years of service credit. There are additional provisions for early retirement if the sum of the member's age and years of service credit total at least 80, but the member is less than age 60 or 62 depending on date of employment, or if the member was grandfathered in under a previous rule. There are no automatic post-employment benefit changes; including automatic COLAs. Ad hoc post-employment benefit changes, including ad hoc COLAs can be granted by the Texas Legislature as noted in the Plan description above.

Contributions: Contribution requirements are established or amended pursuant to Article 16, section 67 of the Texas Constitution which requires the Texas legislature to establish a member contribution rate of not less than 6% of the member's annual compensation and a state contribution rate of not less than 6% and not more than 10% of the aggregate annual compensation paid to members of the system during the fiscal year. Texas Government Code section 821.006 prohibits benefit improvements, if as a result of the particular action, the time required to amortize TRS' unfunded actuarial liabilities would be increased to a period that exceeds 31 years, or, if the amortization period already exceeds 31 years, the period would be increased by such action.

Employee contribution rates are set in state statute, Texas Government Code 825.402. Senate Bill 1458 of the 83rd Texas Legislature amended Texas Government Code 825.402 for member contributions and established employee contribution rates for fiscal years 2014 through 2017. The 83rd Texas Legislature, General Appropriations Act (GAA) established the employer contribution rates for fiscal years 2014 and 2015. The 84th Texas Legislature, General Appropriations Act (GAA) established the employer contribution rates for fiscal years 2016 and 2017.

KTEP covered employees were required to contribute 7.2% of their annual salaries in 2016 and 6.7% and 6.4% in 2015 and 2014, respectively. The employer required contribution was 6.8% for 2016, 2015, and 2014 of eligible employees' annual salaries. KTEP's actual contributions to TRS were \$6,795, \$6,660, and \$5,744 for 2016, 2015, and 2014, respectively.

(Continued)

**KTEP-FM
OF
THE UNIVERSITY OF TEXAS AT EL PASO**

NOTES TO FINANCIAL STATEMENTS

YEAR ENDED AUGUST 31, 2016

3. PENSION PLANS (continued)

The required employer contribution for KTEP employees is recorded as an expense in these financial statements. The net pension liability related to TRS and the related deferred inflows and outflows of resources are recorded by UTEP.

Optional Retirement Program (ORP)

Certain professionals, administrators and faculty may irrevocably elect to participate in the Optional Retirement Program, instead of TRS. ORP is a defined contribution plan administered by the University of Texas (UT) System. Entry into ORP must be elected within 90 days after employment and 100 percent vesting occurs after one year of participation. Covered employees are required to contribute 6.65% of their annual salaries, and the employer contribution is 8.5% (including supplement) of their annual salaries. The contribution rates are established by the Texas Legislature and may fluctuate periodically.

KTEP contributions to ORP were \$11,059, \$10,822, and \$10,737 for 2016, 2015, and 2014, respectively.

4. OTHER EMPLOYEE BENEFITS

Employee Insurance Benefits - The UT System Employee Benefits program provides health and life insurance, disability, long-term care and flexible spending account coverage to all benefits-eligible employees of UTEP. These insurance benefits are provided through both self-funded and fully-insured arrangements. The UT Office of Employee Benefits (OEB) is responsible for the overall administration of the insurance plans. OEB was established by Chapter 1601 of the Texas Insurance Code.

KTEP is required to contribute a portion of the insurance premium at rates established by the Texas Legislature. The rates fluctuate periodically. The employee contributes any premium over and above KTEP's contributions.

Employee Compensable Absences - Employees are entitled to paid vacation of eight to fifteen hours per month, depending upon the years of employment. UTEP estimates and charges a percentage of employee salaries to KTEP, to fund the accrued compensable absences for its employees. The liability for unused vacation is recorded by UTEP.

Postemployment Health and Life Insurance Benefit - Health and life insurance benefits are provided for retired employees (OPEB), in accordance with Texas statutes. Employees become eligible for the health and life insurance benefits as a retired employee if they meet certain age and service requirements.

(Continued)

**KTEP-FM
OF
THE UNIVERSITY OF TEXAS AT EL PASO**

NOTES TO FINANCIAL STATEMENTS

YEAR ENDED AUGUST 31, 2016

4. OTHER EMPLOYEE BENEFITS (Continued)

These benefits are provided to the retirees under the UT System Employee Group Insurance Program (EGIP). The EGIP is a single-employer defined benefit OPEB plan. The authority under which the obligations of the plan members and the System are established and may be amended is Chapter 1601, *Texas Insurance Code*.

The plan's financial information is included in the University of Texas System Consolidated Annual Financial Report that may be obtained from the University of Texas System website at www.utsystem.edu.

The liability for accrued post-employment benefits is recorded by the University of Texas System Administration and not at the individual institutions in the University of Texas System, therefore KTEP does not record an OPEB liability.

5. RISK MANAGEMENT

KTEP participates in UTEP's self-insured general liability, property and workers compensation coverage program administered by the University of Texas System. Certain of KTEP's specialized equipment is insured under separate commercial insurance policies. KTEP's cost of these insurance programs is primarily funded through direct and indirect support provided by UTEP.

6. CONCENTRATION OF REVENUE

KTEP receives substantial support from UTEP in the form of direct appropriations and grants for operating and indirect administrative and occupancy support.

Direct support for operating includes the cost of KTEP employees, utilities and maintenance for broadcasting facilities, and other direct expenses. Direct support from UTEP was \$298,657 for the year ended August 31, 2016, which represents 32% of operating revenues.

Indirect support from UTEP consists of allocated administrative and occupancy costs incurred by UTEP for which KTEP receives benefits. The estimated value of this support is recognized in the statements of revenues, expenses, and changes in net position as indirect administrative support and also as expenses in the management and general functional expense category. Indirect support is calculated using the UTEP's Other Sponsored Activities indirect cost rate negotiated with the US Department of Health and Human Services. The current approved rate of 33% is effective from October 1, 2012 to August 31, 2016. The rate was modified to exclude certain cost components that do not benefit KTEP, resulting in an applied rate of 15.51%. The value of indirect support was \$114,342 for the year ended August 31, 2016, which represents 12% of operating revenues.

(Continued)

**KTEP-FM
OF
THE UNIVERSITY OF TEXAS AT EL PASO**

NOTES TO FINANCIAL STATEMENTS

YEAR ENDED AUGUST 31, 2016

7. LEASE COMMITMENTS

KTEP leases land for its broadcasting and transmission equipment. The lease provides for monthly rent, adjusted annually for inflation, plus common area costs, through September 2021. The lease may be terminated any time after September 2018, with 24 months notice. The adjusted monthly rent at August 31, 2016 was \$3,347. Rental expense incurred for 2016 was \$42,587.

The following is a schedule of future minimum obligations under this operating lease as of August 31, 2016 based on the rate in effect at August 31, 2016:

<u>Year ended August 31</u>	<u>Amount</u>
2017	\$ 40,163
2018	40,163
2019	40,163
2020	40,163
2021	40,163
2022	3,347

In addition, KTEP rents office equipment for \$285 per month under a lease through April 2017. Rental expense incurred for 2016 was \$3,420. Future minimum lease obligations through April 2017 amount to \$2,280.

8. OTHER COMMITMENTS AND CONTINGENCIES

KTEP receives an annual radio community service grant from the Corporation for Public Broadcasting (CPB). In addition to the established level of grant funding, the CPB adjusts funding with calculations dependent on the level of non-federal financial support provided to KTEP in the preceding year. The CPB periodically performs examinations of participating organizations. As a result of these examinations, the CPB may disallow certain non-federal financial support, which may require a station to return a portion of the grants funds to the CPB. Management believes that any disallowance of non-federal financial support would not have a material impact on the amount of grant proceeds received by KTEP.

In 2006, KTEP received a grant from CPB to purchase equipment for digital broadcasting. The CPB grant paid for \$81,200 of eligible costs and requires that KTEP remain qualified to receive a CPB community service grant for ten years or the grant funds must be returned. The ten year provision has been satisfied, and as of August 31, 2016, there is no remaining contingency.

In 2011, KTEP received a grant from the U.S. Department of Commerce to purchase a new transmitter. The grant paid for \$43,840 of eligible cost and KTEP provided a matching amount. The grant provides that the Federal government retains a reversionary interest in the equipment paid with grants funds for ten years after completion of the project.

(Continued)

**KTEP-FM
OF
THE UNIVERSITY OF TEXAS AT EL PASO**

NOTES TO FINANCIAL STATEMENTS

YEAR ENDED AUGUST 31, 2016

9. NET POSITION, RESTATED (PRIOR PERIOD ADJUSTMENT)

The beginning net position was restated to remove the net pension liability related to TRS of \$60,508 and the related deferred inflows and outflows of resources of \$18,509 and \$11,529, respectively, from KTEP's statement of net position, effectively increasing the beginning net position by \$67,488 and decreasing prior year's change in net position by \$1,067. After further review of GASB Statement No. 68, *Accounting and Financial Reporting for Pensions*, and the expected funding source for any TRS related obligations, it was determined that these amounts would be covered by the University of Texas System and/or UTEP and not KTEP since KTEP operates within a department of UTEP.

SUPPLEMENTARY INFORMATION

**KTEP-FM
OF
THE UNIVERSITY OF TEXAS AT EL PASO**

SCHEDULE OF FUNCTIONAL EXPENSES

FOR THE YEAR ENDED AUGUST 31, 2016

	Program Services			
	Programming and Production	Broadcasting	Program Information and Promotion	Total Program Services
Salaries, wages and employee benefits	\$ 131,041	\$ 53,343	\$ 18,325	\$ 202,709
Programming expenses	293,524	-	-	293,524
Indirect administrative costs	-	-	-	-
Professional and contract services	-	33,845	2,110	35,955
Rent	-	42,587	-	42,587
Electricity	-	16,513	-	16,513
Equipment expense	-	9,788	-	9,788
Advertising	-	-	55,722	55,722
Printing, postage and promotion	-	-	1,315	1,315
Repair and improvement expenses	-	-	-	-
Depreciation	-	14,964	-	14,964
Total expenses	<u>\$ 424,565</u>	<u>\$ 171,040</u>	<u>\$ 77,472</u>	<u>\$ 673,077</u>

**KTEP-FM
OF
THE UNIVERSITY OF TEXAS AT EL PASO**

SCHEDULE OF FUNCTIONAL EXPENSES

FOR THE YEAR ENDED AUGUST 31, 2016

Supporting Services			
Management and General	Fundraising and Membership	Total Supporting Services	Total Expenses
\$ 94,157	\$ 39,649	\$ 133,806	\$ 336,515
-	-	-	293,524
114,342	-	114,342	114,342
42,646	1,854	44,500	80,455
-	-	-	42,587
-	-	-	16,513
-	3,135	3,135	12,923
-	-	-	55,722
-	6,381	6,381	7,696
30,801	-	30,801	30,801
-	-	-	14,964
<u>\$ 281,946</u>	<u>\$ 51,019</u>	<u>\$ 332,965</u>	<u>\$ 1,006,042</u>